

2016 SCC OnLine All 1179

In the High Court of Allahabad

(BEFORE V.K. SHUKLA AND MAHESH CHANDRA TRIPATHI, JJ.)

Dakshinanchal Vidyut Vitran Nigam Ltd.
Petitioner

v.

Permanent Lok Adalat and Another Respondents

Counsel for Petitioner:- Vishal Mittal

Counsel for Respondent:- S.C., Nitin Kumar Agrawal

Writ - C No. - 11612 of 2015

Decided on December 20, 2016

1. Dakshinanchal Vidyut Vitran Nigam Limited through its Executive Engineer, Electricity Urban Distribution Division-I, U.S. Jain Road, Baradwari, Aligarh is before this Court, assailing the validity of the order dated 17.12.2014 passed by two members of permanent Lok Adalat in P.L.A. Case No. 51 of 2014 (*Sunil Kumar son of Jang Bahadur Singh v. Executive Engineer, Vidyut Shehri Vitran Khand Pratham, Aligarh* in exercise of authority under Section 22 (C) 4 of the Legal Service Authority Act, 1987.

2. Brief background of the case is that Sunil Kumar son of Jung Bahadur Singh has proceeded to move an application for grant of permanent electricity connection of 5 Kilowat LMV-6, and the said request in question had been turned down. Petitioner in such a situation and in this background on account of refusal of permission, filed complaint before Permanent Lok Adalat, Aligarh. In the said proceeding in question, written submission have been filed highlighting earlier conduct of the petitioner in reference of procuring connection based on fictitious document. The Permanent Lok Adalat endeavoured to get matter resolved in terms of the provision as contained under Section 22(C) 4 of the Legal Services Authority, Act, 1987 and as resolution failed, this much fact is reflected that thereafter Chairman has proceeded to dis-own the claim in question, but two members have proceeded to pass order directing therein that in the event of indemnity bond being furnished, electricity connection be provided.

3. On the presentation of the writ petition, this Court has proceeded to pass interim order on 25.02.2015 and thereafter, counter affidavit has been filed by Sunil Kumar Singh before this Court wherein mention has been made that department has no right to refuse to supply electricity connection in consonance with the provision as contained under Section 43(1) of Electricity Act, 2003 and further answering

respondent is ready to furnish indemnity bond as is required by the Department for grant of new electricity connection under the provision of U.P. Electricity Supply Code, 2005, and in view of this order/action that has been so taken is not at all arbitrary rather same is in consonance with law.

4. To the said counter affidavit, rejoinder affidavit has been filed, disputing the averments mentioned in the counter affidavit and reiterating that of writ petition and mentioning that award passed, is *per se* bad.

5. After pleadings mentioned above have been exchanged, thereafter, present writ petition has been taken up for final hearing/disposal with the consent of the parties.

6. Sri. Amresh Kumar Tiwari, Advocate, holding brief of Sri. Vishal Mittal, Advocate as well as Sri. Kamal Kesarwani, Advocate, holding brief of Sri. Baleshwar Chaturvedi, Advocate contended with vehemence that in the present case Permanent Lok Adalat cannot proceed to issue directions that were contrary to the provision as contained in Electricity Act, 2003 read with Clause 4.4 of U.P. Electricity Supply Code, 2005, in such a situation and in this background order in question is totally without jurisdiction and is a case of transgression and usurpation of jurisdiction, whereas the provisions of Electricity Act, 2003 read with the provisions of U.P. Electricity Supply Code, 2005 are self-sufficient.

7. Sri. Nitin Kumar Agrawal, learned counsel for the respondent no. 2 on the other hand contended that petitioner is occupier of the premises in question and is prepared to fulfil pre requisite terms and conditions as is provided for in Electricity Act, 2003 read with Clause 4.4 of U.P. Electricity Supply Code, 2005, and in view of this, requisite relief has rightly been accorded by the Permanent Lok Adalat and accordingly, in the facts of case no interference is required.

8. After respective arguments have been advanced, at the very outset we proceed to consider the arguments advanced that once Electricity Act is complete code, in view of this, proceeding would not at all be maintainable.

9. Apex Court in the case of *Bar Council of India v. Union of India* (2012) 8 SCC 243 has taken the view that provision of Permanent Lok Adalat has been introduced as an alternative institutional mechanism under Chapter VI-A with regard to the dispute concerning public utility services with the intent to provide speedy and efficacious remedy to secure justice. Said judgement also proceeds to take note of the fact that Permanent Lok Adalat initially makes attempt to get dispute settled by settlement and in case settlement fails, then Permanent Lok Adalat is free to decide the same on merit. Apex Court has also clarified that Legal Services Act, 1987 does not in any way take away

jurisdiction of other fora created under special statutes. Permanent Lok Adalat are in addition to and not in derogation of fora created under special statutes.

10. Once electricity connection has been refused to the petitioner, then petitioner has legal right to approach the permanent Lok Adalat and in view of this, there has been no lack of authority in entertaining the matter.

11. Coming to the merit of the case, at the outset we may make a mention that Electrical undertakings have acquired the character of public utility by reason of their monopolistic position. The State in exercise of its legislative power has enacted the Electricity Act 2003 to consolidate the laws relating to generation, transmission, distribution, trading and use of electricity and generally for taking measures conducive to development of electricity industry as also to protect the interest of consumers and supply of electricity to all areas. The same is fully reflected from the statement of objects and reasons of Electricity Act, 2003. Section 43 of the Act cast duty upon licensee to supply electrical energy on request. Sub-section (1) of the said section reads as under:

“43. Duty to supply on request. - (1) Every distribution licensee, shall, on an application by the owner or occupier of any premises, given supply of electricity to such premises, within one month after receipt of the application requiring such supply:

Provided that where such supply requires extension of distribution mains, or commissioning of new sub-stations, the distribution licensee shall supply the electricity to such premises immediately after such extension or commissioning or within such period as may be specified by the Appropriate Commission:

Provided further that in case of a village or hamlet or area wherein no provision for supply of electricity exists, the Appropriate Commission may extend the said period as it may consider necessary for electrification of such village or hamlet or area.

It shall be the duty of every distribution licensee to provide, if required, electric plant or electric line for giving electric supply to the premises specified in sub-section (1):

Provided that no person shall be entitled to demand, or to continue to receive, from a licensee a supply of electricity for any premises having a separate supply unless he has agreed with the licensee to pay to him such price as determined by the Appropriate Commission.

(3). If a distribution licensee fails to supply the electricity within the period specified in sub-section (1), he shall be liable to

a penalty which may extend to one thousand rupees for each day of default.

12. A bare reading of the provisions of the Electricity Act, 2003 would go to show that every distribution licensee is under an obligation not only to develop but also to maintain efficient, coordinated and economical distribution system in the area of its supply. The provision of Section 43 of the Electricity Act casts a statutory duty upon the distribution licensee to supply electricity not only to owner but also occupier of premises located within the limits of the area of its supply subject to an application being made by owner or occupier in this regard and correspondingly the owner or occupier of any premises, as the case may be, has statutory right to obtain such electricity supply from the distribution licensee, subject to completion of formalities provided for the purpose.

13. Electricity Supply Code, 2005 reference of which has been made by learned counsel for the respondents to contend that electricity connection cannot be granted without consent from the owner enforced in 2005 details out the obligations and counter obligations of the licensee and consumers vis-a-vis each other and specifies the set of practices to provide efficient, cost effective and consumer friendly service to the consumers. Under Clause 2.2 (oo) of 2005 Code 'Occupier' means the owner or authorized person in occupation of the premises where energy is used or proposed to be used. Clause 4.4 prescribes procedure for processing of application for supply. Clause 4.4 (a) which is relevant for the purpose of the present case reads as under:

"4.4. Processing of Application for Supply.

(a) Application for new connections, in prescribed form (Annexure 4.1) and complete in all respects and accompanied by the prescribed Registration-cum-processing fee, shall be filed in duplicate in office, specified by the Licensee, along with attested true copies of the following documents:

- (I) Proof of ownership of the premises in the form of registered sale deed or partition deed or succession or heir ship certificate or deed of last will or proof of occupancy such as valid power of attorney or latest rent paid receipt or valid lease deed or indemnity form as per Annexure 4.2. Order copy of appropriate court, in case of litigation regarding ownership of the premises, has to be enclosed.
- (ii) Approval/permission/NOC of the local authority, if required under any law/statute.
- (iii) In case of a partnership firm, partnership deed.
- (iv) In case of a Limited Company, Memorandum, articles of

Association, Certificate of incorporation and list of Directors/certificate addresses.

Owner's consent for getting new supply connection (Annexure 4.3).

Reference at this stage may also be made to the relevant annexure of Electricity Supply Code 2005. Annexure 4.3 in reference to clause 4.4 is a formate of owner consent for getting new supply connection. Annexure 4.2 in reference to clause 4.4 is a form of indemnity bond which is to be given in case the intending consumer is not the owner of the premises. The same is reproduced herein below:

ANNEXURE 4.2

(Ref. Clause 4.4)

This form is available free of cost

INDEMNITY BOND

(If the intending consumer is not the owner of the premises) to

From _____Engineer, _____

Whereas the land/premises detailed hereunder, belongs to Sri./Smt. _____and I am only lessee/tenant/occupier of the said land/premises where I have applied for the electricity connection the said/premises and I am not able to obtain the consent of Sri./Smt.....but produced the proof of occupancy, i. e. valid power of attorney/latest rent paid receipt/registered lease deed.

Thereto I, in consideration of the grant of electricity connection to me on the conditions of supply for which I have executed the Agreement, further agree to indemnify and keep harmless the Licensee from all damages and claims whatsoever, including costs of suit, original petitions and all manner of legal or other proceedings that the Licensee may incur or likely to incur on account of any action of threat by or at the instance of the owner of the said Land/premises (whether such owner be the said Sri./Smt. _____or any other). I also further agree that such loss, damages and any other claim resulting out of the electricity connection being given to me without the consent of the owner of the land/premises are also recoverable from me and my properties under the provisions of the Revenue Recovery Act, in force at the time of such recovery, or by such other proceedings as the Licensee may deem fit to initiate.

I hold myself answerable to costs of such recoveries and proceedings also.

Place

Date

Witnesses Signature of lessee/tenant/occupier

(1)

(2)

Section 43 of the Act enjoins a duty upon the licensee not only to supply electrical energy on an application in this behalf not only by a owner of a premises but also a occupier which has been defined under the Code 2005 to include any authorized person in occupation of the premises. A tenant would be an authorized person in occupation of a premises.

14. A perusal of Annexure 4.2 goes to show that the purpose obvious from the reading of the aforesaid form is to indemnify the licensee for any loss that may accrue on account of any act of a person in occupation of the building though he may not be owner. A perusal of Clause 4.4 of the Code 2005 goes to show that indemnity form as per annexure 4.2 can also be filed along with an application for new connection. Thus, the Code 2005 provides either for consent letter of owner of the premises or in the absence thereof indemnity bond by the lessee/tenant or occupier of the premises. Intention is, thus, clear that either there should be owner's consent to indemnify the licensees in case the tenant/lessee or occupier vacates and vanishes without leaving his address or in the alternative tenant/lessee or occupier may give an undertaking indemnifying any loss or damage to licensee on account of electricity connection being given to him without the consent of the owner of the land or premises making it recoverable from him and his property under the provisions of the Revenue Act in force at the time of such recovery, or by such other proceedings as the Licensee may deem fit to initiate. In the absence of landlords consent, the lessee/tenant/occupier in proof of occupancy is required to produce valid power of attorney/latest rent paid receipt/registered lease deed.

15. On the parameter of the provisions that have been quoted above, case in hand is being examined and what we find from the record in question is that inter-se petitioner and his family members in reference of the property, there is already on going civil proceeding, being Civil Suit No. 533 of 2014 (*Sunil Kumar v. Jung Bahadur*) before the Civil Judge (Senior Division), Aligarh wherein petitioner is claiming his right over the property in questing, whereas, said property has been in the name of father of petitioner, namely Jang Bahadur.

16. Once such has been the factual situation that petitioner is not at all owner of the premises in question, then electricity connection can be provided only when incumbent fulfils pre requisite terms and conditions as provided for in the Electricity Act, 2003 read with Clause 4.4 of U.P. Electricity Supply Code, 2005, and an incumbent who claims that he is not owner but occupier of the premises in question. then in the absence

of there being proof of ownership, in order to get electricity connection, as proof of occupancy he is obliged to produce valid power of attorney or latest rent paid receipt or valid lease deed and indemnity form as per Annexure 4.2 so that authorities on the spot can proceed with the scrutiny of the application of the petitioner for granting electricity connection. Here, authorities concern on the spot have scrutinized the application form of the petitioner, and have proceeded to turn down the request of the petitioner on the premises that documents that are required to be appended for proof of occupancy has not been filed whereas same is required even upon filing of indemnity bond.

17. Once all these terms and conditions are lacking and missing, dispute in question is admittedly pending between father and son, and property is in the name of father, then certainly Permanent Lok Adalat was not at all entitled under law to ask the authority to act contrary to law.

18. In view of this, order impugned dated 17.12.2014 passed by the Two Member Committee of Lok Adalat is not at all approved of, same is hereby quashed and set aside. However passing of this order will not come in the way of petitioner to move an application for grant of electricity connection strictly in consonance with the provision as contained in Electricity Act, 2003 read with Clause 4.4 of U.P. Electricity Supply Code, 2005.

19. With the above, present writ petition stands allowed.

Disclaimer: While every effort is made to avoid any mistake or omission, this casenote/ headnote/ judgment/ act/ rule/ regulation/ circular/ notification is being circulated on the condition and understanding that the publisher would not be liable in any manner by reason of any mistake or omission or for any action taken or omitted to be taken or advice rendered or accepted on the basis of this casenote/ headnote/ judgment/ act/ rule/ regulation/ circular/ notification. All disputes will be subject exclusively to jurisdiction of courts, tribunals and forums at Lucknow only. The authenticity of this text must be verified from the original source.